

want to cut out the short side: it may make your strategy less competitive and may create some major problems for you in the case of a volatile financial environment.

The reason it may decrease the competitiveness of your strategy is simple. The more you lean towards long-only, even if you still trade all asset classes, the higher the correlation is to the world stock markets. One of the core benefits of managed futures is the ability to decouple from the stock markets and make money in up and down years, regardless of the equity crowd's mood swings. To be an attractive complement to the ubiquitous equity portfolio, our managed-futures strategy should have clear positive expected returns while having low to slightly negative correlations to the world stock markets. If we can achieve that, there are great diversification gains for a stock market investor to buy our product and that is a key sales argument. The reason is that with low or negative correlation along with positive returns, we would push the investor's overall portfolio to a more attractive point on the efficient frontier curve.

■ Sector Impact

When doing the attribution calculations in this section, I ignore the effects of management fees and performance fees, as well as the interest effect, because it would make little sense in breaking it down on the sectors. The information we are looking for here is the relative performance of the sub-components of our strategy and for this purpose the fund fees are not terribly helpful. I use the same core strategy as before, with a 0.15% risk factor as per our original strategy. We know already that this basic strategy can produce pretty good return numbers, but so far we don't really know where they come from. That is what we aim to uncover in this section.

Table 5.3 shows yearly average returns for the different sectors, breaking down the long and short attribution for a 30-year backtest of the core trend-following strategy. Table 5.3 tells us that over the long run the rates sector has been the most profitable sector, closely followed by agriculture. This is in no way an indication that rates will continue to be the most profitable sector going forward, or even that it will stay profitable at all. The long rates have been the big contributors simply because we have had a period of several decades of falling yields and thereby raising bond prices. Given the yield levels in most of the developed world at the moment, there are likely to be limited possibilities in long rates for a while.